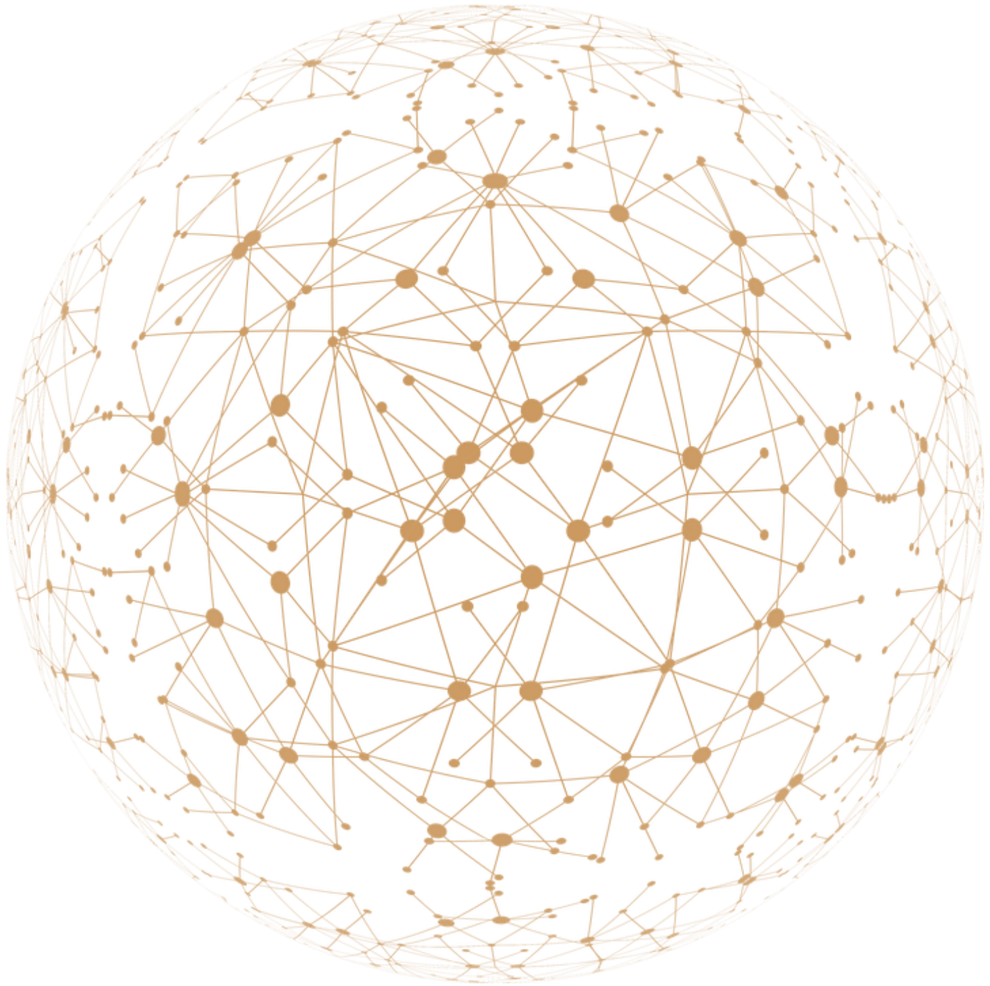
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Digital assets in Luxembourg

Where do we stand?



Biba Homsy, Homsy Legal

Bear market?

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1.8 million – $1.05 T market caps



Luxembourg at a glance

Some selected crypto-asset service providers

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Two main bulks

For a quick view

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MiCAR = Regulation

- Utility Tokens
- Asset-referenced Tokens (“ART”)
- E-money Tokens (“EMT”)
- All crypto-assets not covered elsewhere in financial the services legislation and e-money tokens

Outside Scope

- MiFID II - financial instruments
- Deposits, structured deposits
- Securitization
- E-money
- NFTs or any unique and non-fungible crypto-assets
- CBDC

Luxembourg – 3 blockchain laws

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	Scope
Blockchain Law I	• Law of March 1st, 2019, on the **circulation** of **securities (art. 18a of the Law of August 1, 2001)** • Transactions on Blockchain (DLT) are handled and treated similarly to "traditional" transactions • Using DLT for account registration and transfer of securities
Blockchain Law II	• Law of January 22, 2021, modifying the laws related to dematerialized securities and related to the financial sector • **Issuance** of dematerialized securities for securities account and issuance account • Confirmation to use DLT for credit institutions and investment firms
Blockchain Law III	• Law of March 14, 2023, modifying law related to Financial Collateral Arrangement and the law on the financial sector • Implementing the DLT Pilot Regime (EU) into the Luxembourg legislative framework • Possibility to hold financial **collaterals** on a blockchain

Luxembourg – Other key regulations

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	Scope
AML	• Law of 12 November 2004 on the fight against money laundering and terrorist financing ("AML/CFT Law") and related regulations • Including VASP registration • Classification of crypto-assets • Upcoming Transfer of Funds regulation (TFR) including Travel Rule • ML/TF Vertical Risk Assessment: VASP
CSSF	• CSSF Whitepaper on distributed ledger technologies & blockchain • FAQ Virtual assets for UCI's and Credit Institutions (updated)
Pilot Regime	• For market infrastructures based on DLT (trading and/or settlement of financial instrument on the DLT) including multilateral trading and settlement systems • Applicable since March 2023 for three years
Misc.	• Law of July 14, 2023 modernizing the Luxembourg investment funds • Digital Operational resilience for the financial sector regulation (DORA)

Typical Web3 Funds examples

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Web3 Native VCs

Bain Capital Crypto

coinbase | Ventures

Blockchain Capital

PANTERA

POLYCHAIN CAPITAL

VESSEL

Paradigm

Traditional VCs

SEQUOIA

XAnge Siparex Group

bpifrance

record

BlackRock

CATHAY INNOVATION

Summer 2023 News

Blockchain Capital closed two funds raising for a total of **USD 580Mio.**

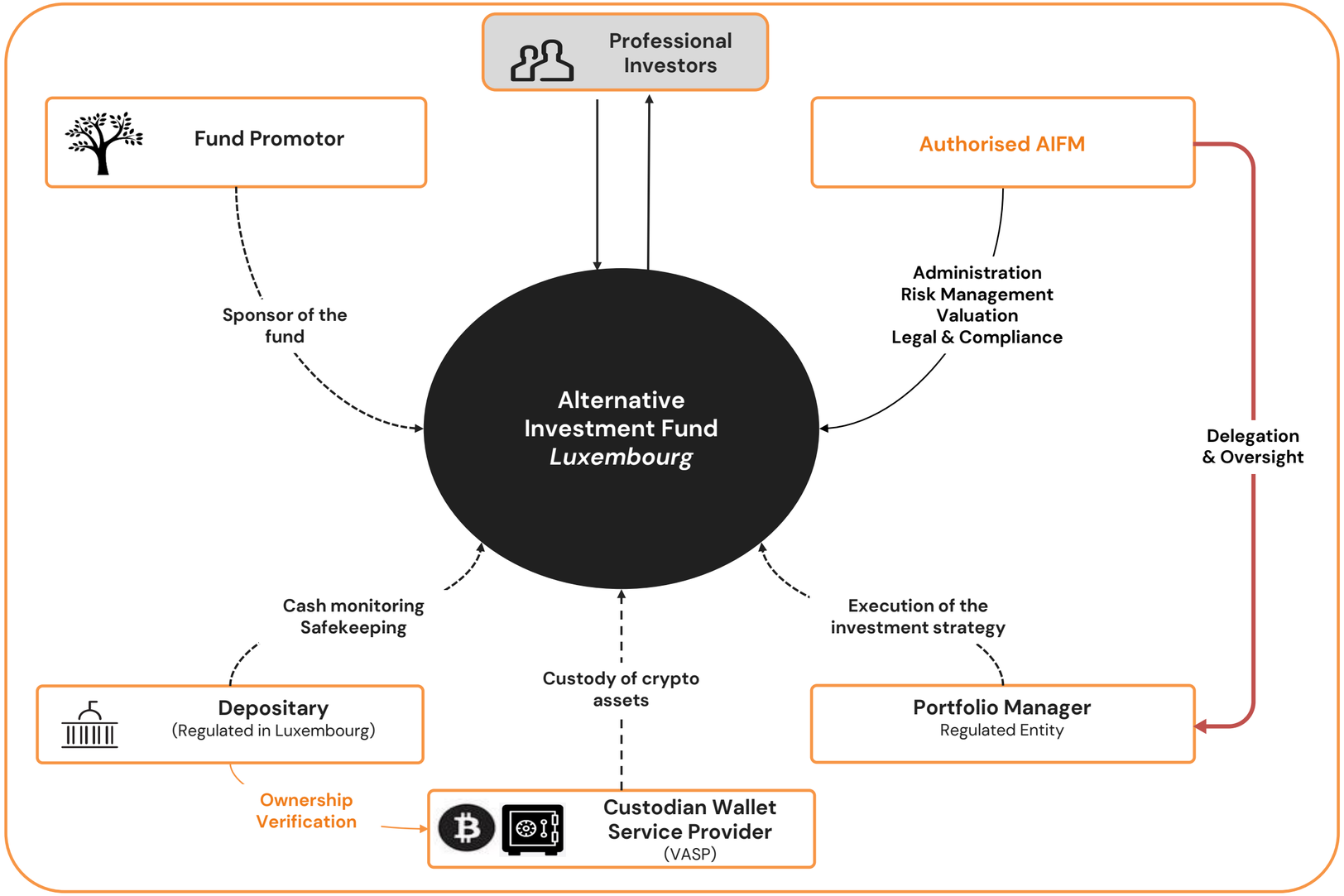
Crypto protocol LayerZero raised **USD 120Mio backed by Andreessen Horowitz (a16z)**, Christie's and others

Ledger Cathay Innovation EUR 100Mio early-stage ventures fund backed, among other by BPI France with the objective to **invest in pre-seed and series A.**

Typical Web3 Fund operational model

Regulated Fund

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MiCA – Activities & Services

Principal-based introduction of regulation for selected crypto-asset activities

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Crypto-Asset Services (Art. 3 para. 1 no. 16 MiCA)	(a) custody and administration of crypto-assets on behalf of third parties
	(b) the operation of a trading platform for crypto assets
	(c) the exchange of crypto-assets for funds (fiat)
	(d) the exchange of crypto-assets for other crypto-assets (C2C)
	(e) the execution of orders for crypto-assets on behalf of clients
	(f) placing of crypto-assets
	(g) the reception and transmission of orders for crypto-assets on behalf of third parties
	(h) providing advice on crypto-assets
	(i) providing portfolio management on crypto-assets

Timeline – EU MiCA

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Entry into force on MiCA
June 29, 2023

Grandfathering
Deadline to opt out of transitional measures & entry into Implementation Titles III+IV
June 30, 2024

Simplified authorization procedure
Start of transitional measures & entry into Implementation Titles I, II, V, VI, VII
December 30, 2024

End of transitional measures
July 2026

12-MONTHS | **6-MONTHS** | **18-MONTHS**

1st ESMA Consultation Package
ART authorizations, qualifying holdings, complaints handling
July 2023

2nd ESMA Consultation Package
ART whitepapers, sustainability re. ARTs and CASPs
Q3 2023

3rd ESMA Consultation Package
Prudential mandates, etc.
expected Q1 2024

Tokenisation

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Tokenised asset

- Exist & traded on-chain and off-chain
- Real assets outside a ledger
  - Financial instruments: bond, equity
  - Real Estate, Art
  - Commodities

Tokenised vs. Securitised

Native tokens

- No pre-existing real-life assets
- Exist & traded on-chain
- Defined by their existence on the ledger
- Assets issued on the DLTs
  - Debt securities
  - Equity securities

Tokenised vs. Materialised

Digital representation of a right, interest or claim which can be shared, transferred, stored through DLT

Same rights – same rules ? Not always

Same actors?

FundsDLT Model

Example of a lux. actor

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A Fund tokenization platform

A shared fund register & account management including corporate actions management

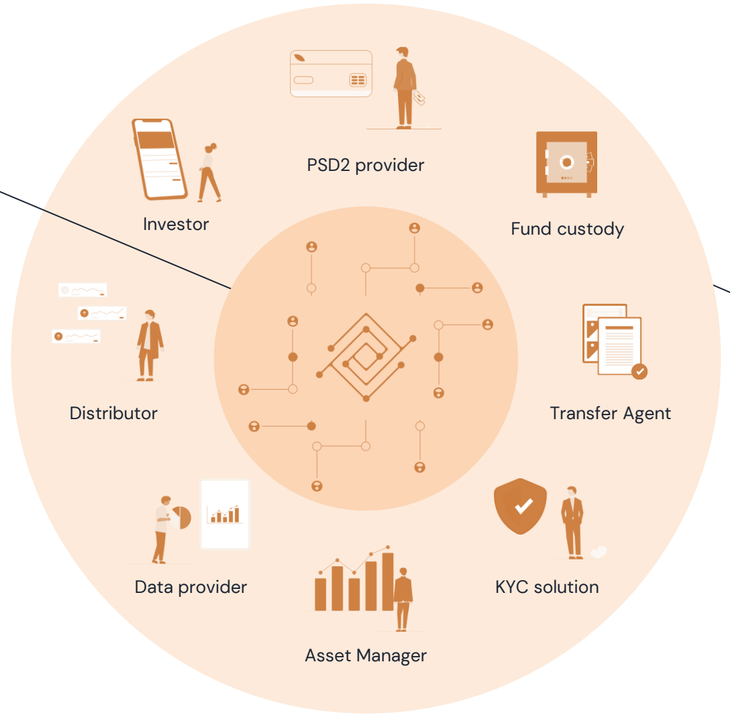
Transaction processing, commission and withholding tax

Cash Settlement

Real time **digital reporting** and data via API or UI

Web User interfaces for monitoring of operations and exception management

Access to **nodes** on the cloud

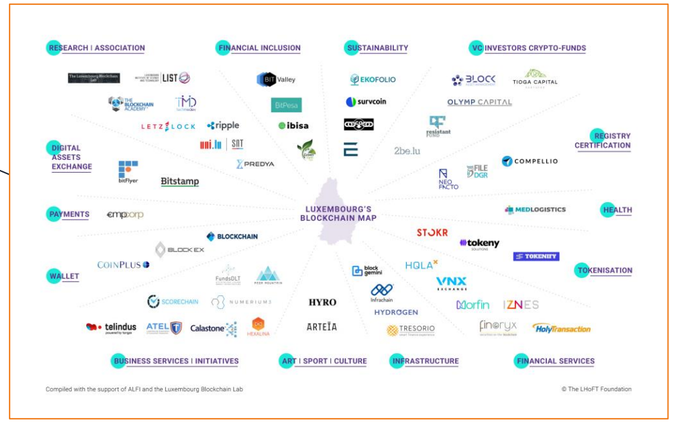


Centralized **KYC platform**

Fund data Hub delivering all fund information

Payment and AutoID providers for retail investors

Investor user interfaces for retail and institutional investors (client mobile app or web site)



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